

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

VISUAL COMFORT & CO., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD, *Respondent*.

DOCKET NO. 24-01

Served: October 8, 2024

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER DENYING RESPONDENT’S SECOND MOTION TO DISMISS

I. Introduction and Procedural Background

The Notice of Filing of Complaint and Assignment in this proceeding issued on January 4, 2024. The Commission set January 6, 2025, as the due date of the Initial Decision in this proceeding. The previously named respondent, COSCO Shipping Lines (North America), Inc., filed a motion to dismiss for lack of jurisdiction over it, and Visual Comfort & Co. (“VCC”) filed an unopposed motion to amend the complaint to name COSCO Shipping Lines Co., Ltd. (“COSCO”) as the sole Respondent, and a copy of the amended complaint. An order granting both motions issued on February 6, 2024, and the amended complaint was docketed on the same day. Respondent filed its answer on February 20, 2024, completing the pleadings.

The first scheduling order in this proceeding issued on March 8, 2024, adopting the parties’ proposed schedule concluding discovery on July 26, 2024, despite it extending beyond 150-days from service of Respondent’s answer.

On March 20, 2024, COSCO filed a Motion for Partial Judgment on the Pleadings (“MPJ”), and on April 30, 2024, an Order Denying Respondent’s Motion for Partial Judgment on the Pleadings (“Order Deny MJ”) issued.

On May 14, 2024, an Order Setting Status Conference and Interim Scheduling Order issued following receipt of the parties’ Third Joint Status Report and Request for Extension (“Third JSR”), which indicated that the parties had not exchanged any documents and had stopped following the scheduling order after April 26, 2024. The Interim Scheduling Order set the close of discovery on August 9, 2024.

On May 30, 2024, Respondent filed two motions to compel: one to compel production of documents, one to compel “adequate” responses to requests for admission and interrogatories, as well as a motion to enlarge page limits. On May 31, 2024, Complainant filed a motion to compel

production of documents. A Partial Order on Motions to Compel, Motion for Entry of Protective Order, and Motion for Enlargement of Page Limits issued on July 17, 2024.

On July 29, 2024, the undersigned conducted a video conference with the parties to rule on the remaining discovery issues raised by the motions to compel. On July 31, 2024, a Memorandum Order on Motions to Compel issued, granting in part and denying in part both parties' motions to compel.

On August 9, 2024, the parties filed another joint status report and proposed amendment to the schedule. The parties tentatively sought a lengthy extension of the schedule due in part to the need to negotiate an ESI protocol, the need for COSCO to review the large number of documents produced by VCC pursuant to COSCO's discovery requests, and because the quantity of documents that COSCO might uncover pursuant to its electronic searches could be substantial. On August 20, 2024, an order issued that recounted the delay caused by the multiple dispositive and discovery motions, the failure of the parties to follow the Interim Scheduling Order, and the failure to establish an ESI protocol early in the proceeding. Because the proposed amended schedule was described as tentative, good cause for such a substantial extension of the schedule was not established and the parties were ordered to file a joint status report and revised proposal to amend the schedule by August 30, 2024.

On August 30, 2024, the parties filed a Joint Status Report and Proposed Schedule updating their progress on discovery and proposing an amended schedule as directed in the August 20, 2024 order. The proposal was adopted, with a date corresponding to the close of discovery for the completion of depositions added. Discovery closes on October 18, 2024.

On October 2, 2024, COSCO filed Respondent's Second Motion to Dismiss for Failure to Prosecute or to Dismiss Shipments not in the U.S.-Foreign Trade and to Preclude Complainant's Untimely "Corrected" Expert Report ("Second MTD"). This is the third dispositive motion filed in this proceeding.

For the reasons stated below, COSCO's Second MTD is denied.

II. Respondent's Motion

COSCO argues that the amended complaint should "be dismissed because VCC has failed to prosecute its case by withholding documents critical to COSCO's defense (and likewise essential to VCC's case-in-chief)." Second Motion to Dismiss at 1. COSCO further states that:

In the alternative, if the motion to dismiss the entire Complaint is not granted, the Presiding Officer must dismiss all shipments **not in the U.S.-Foreign trades** (e.g., those shipments between a foreign country and Canada), and should preclude Complainant from using its substantially revised Expert Report, which was provided to Respondent on September 27, 2024, months after the June 14 deadline for Complainant's expert report.

Id.

In support of the portion of the motion that asserts VCC has failed to prosecute its claim by not complying with orders in the proceeding, COSCO relies on *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2015 WL 6274657 at *3 (Initial Decision 2015, Admin. Final 2016). There, the complainant failed to file its brief, findings of fact, and appendix. The administrative law judge *sua sponte* enlarged the time for complainant to respond to the motion to dismiss and issued a show cause order, allowing complainant to file its brief, findings of fact, and appendix, with an explanation of why it missed the scheduling order deadline. *Id.* at *4. Complainant failed to file the papers, an opposition to the motion to dismiss, or show cause why the complaint should not be dismissed. Here, COSCO argues that VCC did not produce responses in a timely manner pursuant to the orders on motions to compel, produced too many documents too late in the proceeding, and/or failed to produce documents that COSCO believes should have been produced.

In support of the argument that the Federal Maritime Commission (“Commission”) lacks subject matter jurisdiction, COSCO states that “the lack of subject matter jurisdiction is not apparent from the face of the Complaint, which fails to disclose that **many** of the shipments moved in foreign-to-foreign commerce.” Second MTD at 4 (emphasis added). COSCO asserts that this information was disclosed through testimony and document production. *Id.*

The third argument in this motion is one seeking exclusion of evidence, specifically the revised expert report of September 27, 2024. *Id.*

III. Discussion

COSCO brings this motion in the last sixteen days of discovery after bringing two dispositive motions early in the proceeding, and two motions to compel during discovery. Under the amended scheduling order, discovery closes October 18, 2024; Complainant’s brief, proposed findings of fact, and appendix are due on November 8, 2024; Respondent’s opposition brief, responses to proposed findings of fact, proposed finding of fact, and appendix are due on December 6, 2024; and Complainant’s reply brief and responses to proposed findings of fact are due on December 20, 2024. Moreover, the Commission set a deadline to issue the Initial Decision of January 6, 2025.

Administrative law judges have routinely denied scheduling order proposals that request dates to file dispositive motions at the conclusion of a proceeding. *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, 2018 WL 2683806, at *1 (ALJ May 31, 2018) (Revised Scheduling Order) (“Complainant requests a deadline for dispositive motions and Respondent requests a deadline for motions for summary decision. Dispositive motions such as motions for summary decision are disfavored at the conclusion of a proceeding as they do not create any efficiencies for the parties or the agency. Accordingly, the parties should proceed to briefing on the merits.”); *Aeneas Exporting LLC v. Honeybee International Inc., and All America Shipping*, 2022 WL 2399909, at *1 (ALJ June 29, 2022) (Scheduling Order) (“Moreover, dispositive motions at the close of discovery are disfavored as it is more efficient to move to briefing where factual disputes can be resolved.”). Had the parties proposed adding a dispositive motion date to the last few weeks of the amended schedule, it similarly would have been denied as it more efficient at this late date to proceed to briefing the merits.

Moreover, all three of the issues raised and the arguments made can be addressed in the parties' briefs.

To the extent that discovery issues have not already been adjudicated by the two previous orders on motions to compel, the parties may raise objections and requests to exclude or obtain evidence in their briefs, citing to appropriate authority.

To the extent that COSCO has evidence that some (but not all) of the shipments for which VCC seeks reparations do not involve the transportation of cargo by water between a port in the United States and a foreign port, that is a factual and evidentiary issue that is more appropriately raised if VCC proves a violation of the Shipping Act and seeks reparations for such shipments. Moreover, VCC may decide not to seek reparations for the shipments that do not involve the transportation of cargo by water between a port in the United States and a foreign port when filing its brief.

It is not clear that the revised expert report should be excluded from admission into evidence as it was produced prior to the close of discovery, especially as the Interim Scheduling Order set May 31, 2024, as the date for Complainant to serve **initial** expert reports. Order Setting Status Conference and Interim Scheduling Order at 2 (emphasis added). The March 8, 2024 Scheduling Order, the Interim Scheduling Order, and the September 5, 2024 Amended Scheduling Order do not set dates for or address the production of revised expert reports, and all but the Interim Scheduling Order adopted the schedule proposed by the parties. Accordingly, the parties should address this issue in their briefs.

IV. Order

Upon consideration of the record herein and the conclusions and findings set forth above, it is hereby

ORDERED that Respondent COSCO's Second Motion to Dismiss is **DENIED**.



Linda S. Harris Crovella
Administrative Law Judge